26VECV01237 26VECV01237

County: los-angeles

Division: Civil Law and Motion

Department: U

Hearing date: 2026-07-28

Motion: CROSS-DEFENDANT’S MOTION TO COMPEL ARBITRATION OF CROSS-COMPLAINT

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=NW%20%2CU%2C07%2F28%2F2026

Source SHA-256: 36db0dda69b92a17bbfc0ea8cf0b081a97bc4632760af67fdff025368aef42a2

Case Number: 26VECV01237 Hearing Date: July 28, 2026 Dept: U

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

SOLAR TECH ENERGY SYSTEMS, INC., a Nevada corporation,

Plaintiff,

vs.

THE JOSHUA EVAN SABAH AND DEBRA BRIM SABAH FAMILY TRUST DATED JULY 22, 2007; JOSHUA EVAN SABAH, Trustee; DEBRA BRIM SABAH, Trustee; and DOES 1-10, inclusive,

Defendants.

)

)

)

)

)

)

)

)

)

)

)

)

CASE NO: 26VECV01237

[TENTATIVE] ORDER RE: CROSS-DEFENDANT'S MOTION TO COMPEL ARBITRATION OF CROSS-COMPLAINT

Dept. U

8:30 a.m.

July 28, 2026

BACKGROUND

This case arises from alleged breaches of a solar installation contract.

On March 2, 2026, Plaintiff Solar Tech Energy Systems, Inc. ("Solar") filed its complaint against Defendants The Joshua Evan Sabah and Debra Brim Sabah Family Trust Dated July 22, 2007; Joshua Evan Sabah ("Joshua"); and Debra Brim Sabah, alleging a single cause of action for foreclosure of mechanic's lien.

On April 13, 2026, Defendants filed their answer to the complaint.

Also on April 13, 2026, Cross-Complainant Joshua filed his cross-complaint against Cross-Defendant Solar, alleging: (1) breach of contract; (2) declaratory relief; (3) cancellation of mechanic's lien; and (4) forfeiture of invalid mechanic's lien.

On April 27, 2026, Solar filed its motion to compel arbitration of Joshua's claims in the cross-complaint.

On May 11, 2026, Joshua filed his opposition brief.

On July 20, 2026, Solar filed its reply brief.

RULING

The motion is granted solely as to Joshua's first cause of action for breach of contract in the cross-complaint. The motion is otherwise denied.

LEGAL STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) that agreement covers the controversy or controversies in the parties' dispute.¿ Code Civ. Proc., § 1281.2; Omar v. Ralphs Grocery Co. (2004)¿118 Cal.App.4th 955, 961.

DISCUSSION

Solar moves to compel arbitration of Joshua's claims in the cross-complaint.

The parties' contract states, "Except for mechanic lien actions, all disputes, controversy or claim arising from this Agreement, or any breach or alleged breach of this Agreement, shall be settled by arbitration in the City of San Diego, California, in accordance with the Commercial Arbitration Rules ('Rules') of the American Arbitration Association ('AAA')." (Complaint, Exh. A, pp. 13-14.) Based on this arbitration provision, Solar seeks to arbitrate Joshua's claims in the cross-complaint: (1) breach of contract; (2) declaratory relief; (3) cancellation of mechanic's lien; and (4) forfeiture of invalid mechanic's lien.

As alleged in the cross-complaint, Joshua's second, third, and fourth causes of action directly respond to Solar's mechanic's lien claim in the main complaint. Thus, each of those causes of action is part of the "mechanic lien action" and is also exempted from arbitration under the parties' agreement. The remaining issue is Joshua's first cause of action for breach of contract, which does not directly respond to Solar's mechanic's lien allegations. (See Cross-Complaint, ¶ 10: "Cross-Complainant seeks damages in the amount of at least $108,125.93, with the exact amount to be proven at trial, which consists of the cost of repairing the damage[] [Solar] caused.")

Joshua argues the entire arbitration agreement is unenforceable because it does not comply with the requirements for arbitration set forth under Business and Professions Code section 7191. That section sets forth specific requirements in residential construction contracts like the contract at issue in this case. Arbitration provisions that fail to comply with section 7191 "are unenforceable against anyone but the licensee" unless preempted by the Federal Arbitration Act ("FAA"). Rutter Cal. Prac. Guide, ADR, Ch. 5-B: "Federal vs. State Law Governing" [5:49.3b]. The FAA does not preempt section 7191 where a contractor fails to make an evidentiary showing that the contract involves interstate commerce. Woolls v. Superior Court (2005) 127 Cal.App.4th 197, 214 (Woolls) (party claiming that contract involves interstate commerce and FAA preempts state law has burden of proof).

The FAA governs if the underlying contract facilitates interstate commercial transactions or directly or indirectly affects commerce between states. Bernhardt v. Polygraphic Co. of America (1956) 350 U.S. 198, 201. For example, a residential purchase contract involved interstate commerce where the developer had used five different out-of-state building material suppliers. Shepard v. Edward Mackay Enterprises, Inc. (2007) 148 Cal.App.4th 1092, 1096, 1101 (Shepard). It was irrelevant that virtually all the out-of-state materials were not at issue in the case. Ibid.

To support its interstate commerce position, Solar presents testimony from its officer and representative Grant Magoffin. Mr. Magoffin attests, "The equipment, materials, and products specified in the Contract were sourced and shipped from various national suppliers and distributors, located in various states. For example, the Contract's solar panels (44 Q.TRON BLK M-G2+/AC 430W modules) are manufactured in Dalton, Georgia; racking and other materials from IronRidge are made in California, Pennsylvania, and Arizona; and microinverters and electrical components made by Enphase are manufactured at production sites in South Carolina and Texas." (Magoffin decl., ¶ 7.)

Mr. Magoffin's testimony regarding equipment, materials, and products sourced from different states is sufficient to establish that the subject contract involves interstate commerce. See Shepard, supra, 148 Cal.App.4th at pp. 1096, 1101. Because the contract involves interstate commerce, the FAA preempts Business and Professions Code section 7191, and the arbitration provision is not invalidated due to its failure to adhere to the requirements of that section. See Woolls, supra, 127 Cal.App.4th at p. 214.

Joshua opposes the motion under Code of Civil Procedure section 1281.2 (c), which states that the trial court may exercise discretion to not order arbitration where "[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact." Code Civ. Proc., § 1281.2 (c). However, as Joshua concedes (Opp. at 8), there is no "third party" involved in a separately pending proceeding; thus, section 1281.2(c) does not apply.

Finally, Joshua argues Solar waived its right to arbitrate by failing to comply with Code of Civil Procedure section 1281.5. That section states, "Within 30 days after service of the summons and complaint, the claimant shall file and serve a motion and notice of motion pursuant to Section 1281.4 to stay the action pending the arbitration of any issue, question, or dispute that is claimed to be arbitrable under the agreement and that is relevant to the action to enforce the claim of lien. The failure of a claimant to comply with this subdivision is a waiver of the claimant's right to compel arbitration." Code Civ. Proc., § 1281.5 (b).

Section 1281.5 addresses a situation in which a party with arbitration rights files a mechanic's lien foreclosure action in court and then later seeks to compel arbitration of that same claim or other claims that were arbitrable. Here, however, Solar is not seeking to arbitrate its own foreclosure claim. Rather, Solar is seeking to arbitrate Joshua's breach of contract cross-claim, which is separate and apart from the foreclosure claim alleged by Solar in the main complaint. Because Solar is not seeking to arbitrate its own claims, section 1281.5 provides no grounds to deny the motion.

In sum, Solar is not entitled to arbitration of Joshua's second, third, and fourth causes of action in the cross-complaint because they respond directly to Solar's foreclosure claim and are thus part of the foreclosure of mechanic's lien action. However, the arbitration provision plainly encompasses Joshua's remaining breach of contract claim. Because the FAA applies and because Joshua cites no applicable authority showing the breach of contract claim is not arbitrable, the motion is granted solely as to Joshua's first cause of action for breach of contract in the cross-complaint.

CONCLUSION

Cross-Defendant Solar Tech Energy Systems, Inc.'s motion to compel arbitration is GRANTED solely as to the first cause of action for breach of contract in the cross-complaint. Cross-Defendant Solar Tech Energy Systems, Inc.'s motion to compel arbitration is otherwise DENIED.

This case is hereby STAYED pending the parties' completion of arbitration. See Code Civ. Proc., § 1281.4.

Cross-Defendant Solar Tech Energy Systems, Inc. is ORDERED to give notice.

DATED: July 28, 2026

____

Lee S. Arian

Judge of the Superior Court